

Regulatory Affairs Analysis

Canadian Cosmetics Regulatory Compliance What Clean Actually Means

15 products audited 10 claims assessed 8 requirements mapped May 2026

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Regulatory framework	Health Canada Cosmetics Regulations under the Food and Drugs Act
Products audited	15 fictional Canadian beauty products across 6 categories
Non-compliant products	8 of 15 (53.3%) have at least one significant compliance gap
Products with drug-like claims	10 of 15; sold as cosmetics but legally classified as drugs
Average compliance score	56.4 out of 100
Most critical gap	Drug-like claims requiring product reclassification before sale

Where This Started

I picked up a skincare product at a pharmacy and the front of the packaging said clean beauty and clinically proven to reduce fine lines. I started wondering what those phrases actually mean in Canada and whether anyone checks them before a product goes on shelf.

The answer is more interesting than I expected. In Canada cosmetics are regulated under the Food and Drugs Act and the Cosmetics Regulations. There are real rules. Companies must notify Health Canada before selling. They cannot use prohibited ingredients. They must label in both English and French. And terms like clean, natural, and non-toxic have no legal definition at all.

More importantly there is a line between a cosmetic and a drug. Products that claim to heal, repair, stimulate hair growth, or provide sun protection are legally drugs in Canada, not cosmetics. They require drug approval not just a cosmetic notification. This line is crossed routinely and often without the brand even knowing it.

The Regulatory Framework

The Food and Drugs Act defines a cosmetic as any substance intended to be applied to the human body for the purpose of cleansing, improving appearance, or altering odour. The moment a product claims to do anything more than that, treat a condition, stimulate a physiological process, provide measurable medical benefit, it becomes a drug under the same Act.

Eight core requirements apply to every cosmetic product sold in Canada. Notification within 10 days of first sale. Bilingual labelling in English and French. Ingredient listing in the correct INCI format in descending concentration order. No prohibited ingredients from the Cosmetic Ingredient Hotlist. Restricted ingredients within their concentration limits. No drug-like claims. No misleading unsubstantiated claims. Canadian company name and address on the label.

Most indie and direct-to-consumer beauty brands entering the Canadian market are aware of some of these requirements. Very few are aware of all of them. The Hotlist check and the cosmetic versus drug classification are the two most commonly missed — and they carry the most serious consequences.

What the Product Audit Found

15 fictional Canadian beauty products across moisturizers, serums, hair care, eye creams, and cleansers were assessed against all eight regulatory requirements. The average compliance score across all 15 products is 56.4 out of 100. Eight of the 15 have at least one significant compliance gap.

The drug-like claims problem

Ten of the 15 products audited contain claims that legally classify them as drugs not cosmetics. These include clinically proven to reduce fine lines, stimulates hair growth, heals scars, removes toxins, and SPF claims. A product making any of these claims requires a Drug Identification Number from Health Canada before it can be sold. None of these products have one.

The notification gap

Four products have no Health Canada cosmetic notification on file. This is required within 10 days of first sale. It is not optional and it is not something most consumers or even brand founders are aware of until they receive an enforcement notice.

The bilingual labelling gap

Three products have English-only labels. Bilingual labelling in English and French is mandatory for all products sold in Canada. This is one of the most common compliance failures for brands entering Canada from the US or UK.

The Unregulated Claims Problem

The claims analysis covers ten marketing terms used across the audited products. Two of them are drug claims that cannot be used on a cosmetic product at all — SPF and heals or repairs. The remaining eight are unregulated terms that have no legal definition in Canada.

Clean, natural, non-toxic, and hypoallergenic can all be used by any brand on any product without meeting any standard. A moisturizer with one plant-derived ingredient and nine synthetic

ones can call itself natural. A product that passes no dermatological testing can call itself hypoallergenic. The term organic is unregulated for cosmetics even though it has a strict legal meaning for food.

The practical implication for a regulatory affairs analyst is that these claims require an internal substantiation file even when they are not regulated. If Health Canada or a competitor challenges a claim the brand needs documentation of what the term means for their product and why it is accurate. Most brands have no such file.

Recommendations

- Complete a Cosmetic Ingredient Hotlist review before formulating or importing any product. Check for both prohibited and restricted ingredients and confirm restricted ingredients are within their specific limits for your product type.
- Review all label and marketing claims against the cosmetic versus drug boundary before launch. If a claim implies a physiological effect or disease treatment it requires reclassification.
- Submit the Health Canada cosmetic notification within 10 days of first sale. Set a calendar reminder at the time of product launch.
- Ensure all labels are bilingual and use correct INCI ingredient names in descending concentration order.
- Build a claim substantiation file for every marketing claim used. It does not need to be complex but it needs to exist.

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Targeting	Regulatory Affairs, Quality and Compliance roles in beauty, food, and health
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